Gold Equities: Margins Hold as Bullion Resets

Producers still clear US$2,300 to US$3,000/oz over costs at today's price. We prefer growth with falling costs (Alamos, Buy) over premium quality (Franco-Nevada, Hold).

Basel Al-Ghousein (Analyst), Northwall Research | Prices as of October 26–27, 2026

Our view

Gold has fallen about 27% from its January record, but the reset leaves miners with near-record margins. Our deck already sits below spot, so the correction does not change our targets or ratings. The stock-picking question has moved from leverage to cost trajectory and balance-sheet discipline. On that test, Alamos Gold screens best in our coverage and Franco-Nevada remains fully valued.

Key points

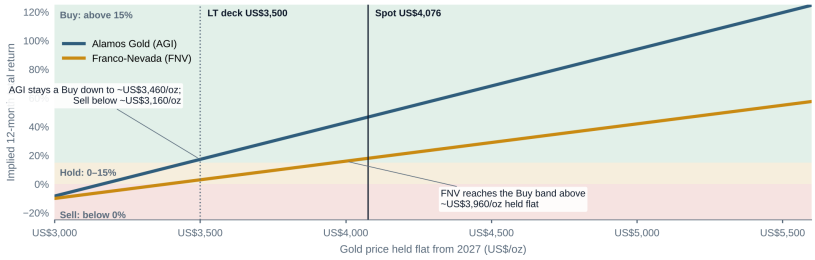
(1) The reset has a clear cause. The Iran conflict pushed oil toward US$100/bbl, which lifted inflation expectations and bond yields. The US 10-year reached 5.20% on September 24, and gold fell 8.5% that month. Markets now price Fed hikes from a 4% upper bound to 4.75%–5.0% by next summer.

(2) Flows have already turned. Gold ETFs added 211 t in Q3 after 45 t of Q2 outflows, and US-listed funds took in US$11.7 billion. Central banks bought 289 t in Q2, up 62% year on year. Equities lagged: about US$1 billion left GDX in September.

(3) Margins are the cushion. Newmont earned about US$2,863/oz over AISC in Q3, and Agnico Eagle about US$3,024/oz in Q2. Industry AISC rose 16% year on year to US$1,785/oz in Q1, so cost inflation is now the variable to watch.

(4) Alamos over Franco-Nevada. Alamos (Buy, US$39.00) grows output about 80% to 960 koz by 2030E as AISC falls toward US$1,200/oz. It stays a Buy down to about US$3,460/oz gold held flat. Franco-Nevada (Hold, US$250.00) needs gold held flat near US$3,960/oz to reach our Buy band.

Exhibit 2: Implied 12-Month Total Return vs. Gold Price Held Flat from 2027



Source: Northwall Excel models (v2026Q2) run through the house engine; returns include the forward dividend

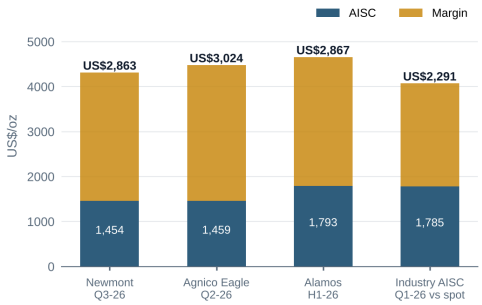
Coverage

Company	Rating	Price	Target	Return
Alamos Gold (AGI)	Buy	US$30.21	US$39.00	29.6%
Franco-Nevada (FNV)	Hold	US$230.76	US$250.00	9.1%

Northwall gold deck (US$/oz)

	H2-26E	2027E	2028E	LT
Gold	4,200	4,000	3,800	3,500
Spot, Oct 27				US$4,076

Exhibit 1: Realized Price vs. AISC (US$/oz)



Source: company reports via Discovery Alert (Newmont, Agnico Eagle); World Gold Council (industry AISC); Alamos H1-26 filings; Northwall Research

Total return includes the forward dividend. Ratings: Buy above 15%, Hold 0–15%, Sell below 0%. Estimates, targets and ratings are Northwall Research opinions. See important disclosures at the end of this report.

Gold: A Reset, Not a Reversal

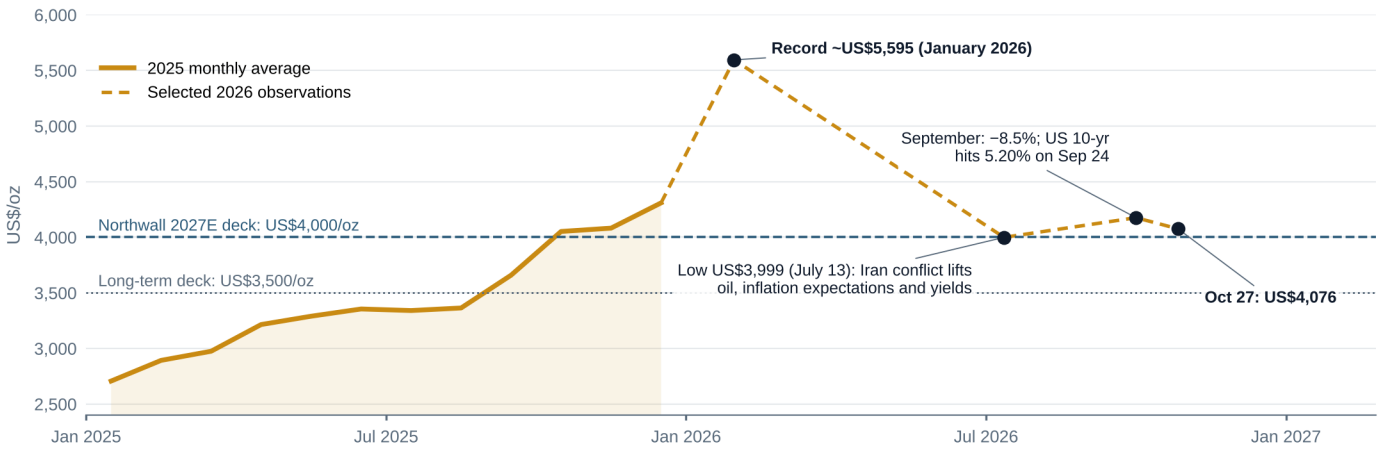
Gold fell further and faster than most expected in 2026. The drivers were rates and liquidity rather than a loss of demand, and flows have already turned.

Gold fell at the outbreak of the conflict instead of rising as a safe haven.

Gold set a record near US$5,595/oz in January, then fell to a US$3,999 low on July 13 (Exhibit 3). The trigger was the Iran conflict. Oil moved toward US$100/bbl, inflation expectations rose, and the Fed lost room to cut. Gold fell at the outbreak instead of rising as a safe haven, as investors sold winning positions to cover losses elsewhere.

September added a second leg. The US 10-year yield reached 5.20% on September 24, its highest since 2007, and gold fell 8.5% in the month. The dollar rose to two-month highs, and markets now price Fed hikes from a 4% upper bound to 4.75%–5.0% by next summer. Gold closed at US$4,076/oz on October 27.

Exhibit 3: Gold Price: 2025 Monthly Averages and Selected 2026 Observations (US$/oz)

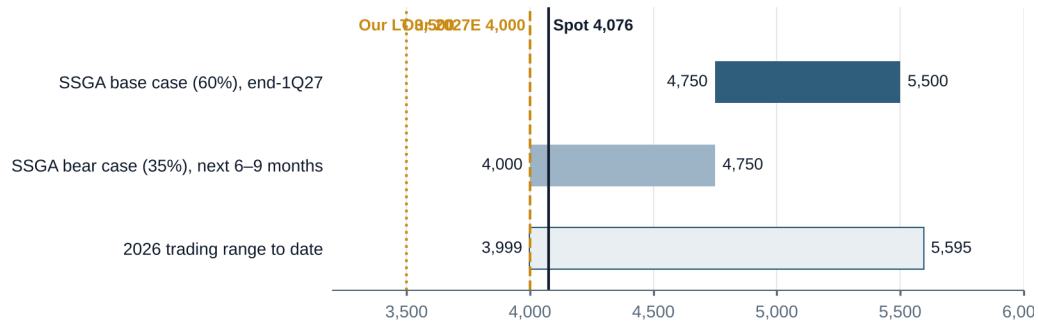


Source: MetalCharts (2025 monthly averages); Discovery Alert citing Reuters (2026 record, July low and September); State Street Global Advisors; Northwall market tape (October 27)

Our deck already assumes the correction

Our deck steps from US$4,200/oz in H2-26 to US$4,000 in 2027 and US$3,500 long term. That sits at the bottom of State Street's bear case and well below its base case (Exhibit 4). We therefore make no deck change. Spot would need to fall about 14% and stay there before our long-term price looked generous.

Exhibit 4: Where Our Deck Sits Against Published Scenarios (US$/oz)



Source: State Street Global Advisors, Monthly Gold Monitor, October 2026; Northwall Research

Flows have turned before prices

Exhibit 5: Gold Investment and Official-Sector Flows, 2026

Flow	Period	Amount	Read-through
Gold ETFs (global)	Q2 2026	−45 t	Profit-taking near the highs
Gold ETFs (global)	Q3 2026	+211 t	Europe and North America led the return
US-listed gold ETFs	Q3 2026	+US$11.7 billion	Includes +US$3.7 billion in September
Central banks	Q2 2026	289 t (+62% y/y)	Structural buyer; H1 total of 345 t was the lowest since 2022
VanEck Gold Miners ETF (GDX)	September 2026	About −US$1 billion	Equities sold harder than bullion

Source: State Street Global Advisors; World Gold Council and SSGA via Discovery Alert (October 27, 2026); Northwall Research

Bullion ETFs bought the September dip while gold equities saw outflows. In our experience that gap closes as quarterly results confirm margins, which makes the Q3 season the near-term catalyst for the group.

Miners: Margins Near Record, Costs Rising

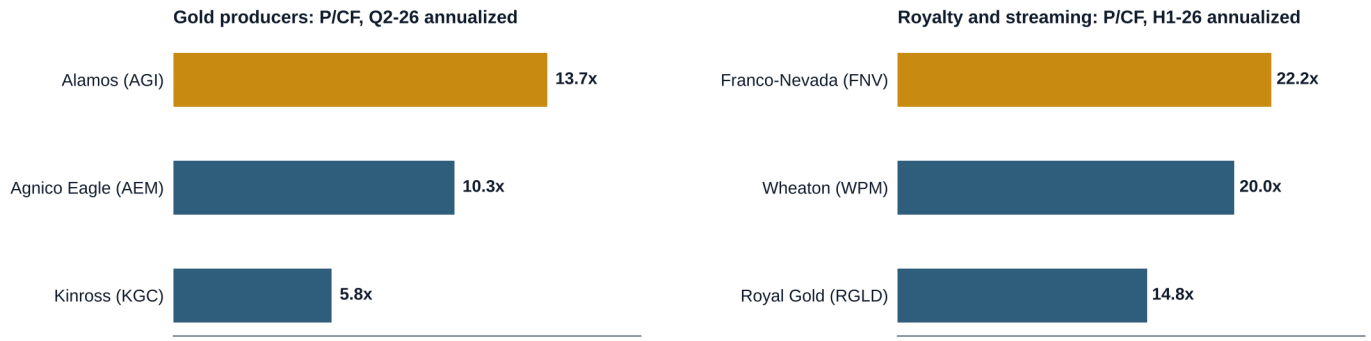
At US$4,000 gold the average producer still earns over US$2,200/oz above all-in sustaining costs. Cost inflation, not price, is now the main threat to that margin.

Margins near US$3,000/oz give producers room to absorb a further pullback.

Large producers reported margins close to US$3,000/oz over AISC in the most recent quarters. Newmont realized US$4,317/oz in Q3 against AISC of US$1,454/oz. Agnico Eagle realized US$4,483/oz in Q2 against AISC of US$1,459/oz. Alamos realized US$4,660/oz in H1 against AISC of US$1,793/oz, a margin of about US$2,867/oz.

Costs are moving the other way. The World Gold Council put industry AISC at US$1,785/oz in Q1, up 16% year on year, and Barrick reported US$1,866/oz in Q2. RBC Capital Markets expects 2027 AISC to rise a further 4% and capital spending 16% (as reported by Discovery Alert). Royalties and production taxes rise with the gold price, so some of that inflation is the price itself.

Exhibit 6: Valuation: Gold Producers and Royalty Companies on Price to Cash Flow



Source: Company Q2-26 filings; Northwall calculations. Prices as of October 26–27, 2026

Alamos trades at 13.7x annualized Q2 cash flow, above Agnico Eagle and Kinross, because the market is looking through a trough year. On our 2027E cash flow per share of US$3.50 the multiple falls to 8.6x, and to 7.2x on 2028E. Franco-Nevada trades at 22.2x, a premium to both royalty peers that already reflects its diversification and net cash.

Where the Value Is

We frame both names by the gold price they need to justify a rating. Alamos keeps a wide margin of safety; Franco-Nevada needs gold to hold near today's level.

Exhibit 2 on page 1 runs each model with gold held flat from 2027, at every price from US$3,000 to US$5,600/oz. Alamos stays in our Buy band down to about US$3,460/oz and only turns negative below about US$3,160/oz. Franco-Nevada needs about US$3,960/oz held flat to reach the Buy band, and falls below zero near US$3,385/oz.

Exhibit 7: Coverage Valuation Summary

	Alamos Gold (AGI)	Franco-Nevada (FNV)
Rating and target	Buy, US$39.00	Hold, US$250.00
Share price (Oct 26)	US$30.21	US$230.76
Implied all-in return	29.6%	9.1%
Valuation method	50% P/NAV (1.0x) + 50% P/CF 2027E (10x)	50% P/NAV (2.0x) + 50% P/CF 2027E (25x)
NAV per share (5% real)	US$42.35	US$138.88
P/NAV	0.71x	1.66x
2027E CFPS	US$3.50	US$9.00
CAPM cost of equity	9.97% (beta 1.0)	7.87% (beta 0.58)
Growth implied by price (reverse DCF)	−1.6%	4.0%
Target at gold held flat at US$4,000/oz	US$43	US$265

Source: Northwall Excel models v2026Q2; company filings

Alamos is priced as if cash flow shrinks; Franco-Nevada as if it grows 4% forever.

The reverse DCF frames the debate. At US$30.21, Alamos is priced for cash flow that shrinks slightly forever, despite visible growth. At US$230.76, Franco-Nevada is priced for 4.0% perpetual growth, above the roughly 3% volume growth we forecast. That gap, rather than a view on gold, drives our relative preference.

Where Our Coverage Operates

Both names are anchored in the Americas, and both are concentrated in northern Ontario and Quebec, one of the best-ranked mining jurisdictions in the world.

Ontario ranked second globally in the Fraser Institute's 2025 investment attractiveness index, up from fifteenth in 2024. Alamos earns most of its value from Island Gold, Magino and Young-Davidson in Ontario. Franco-Nevada's royalties on Côté, Detour Lake, Canadian Malartic and Greenstone sit in the same corridor (Exhibits 8 and 9).

Exhibit 8: Northwall Gold Coverage: Operations, Royalties and Streams in the Americas



Source: Natural Earth (boundaries); company disclosures; Northwall Research. Locations approximate

Exhibit 9: Northern Ontario and Quebec: Where Both Names Overlap



Source: Natural Earth (boundaries); company disclosures; Northwall Research. Belt outline and locations approximate

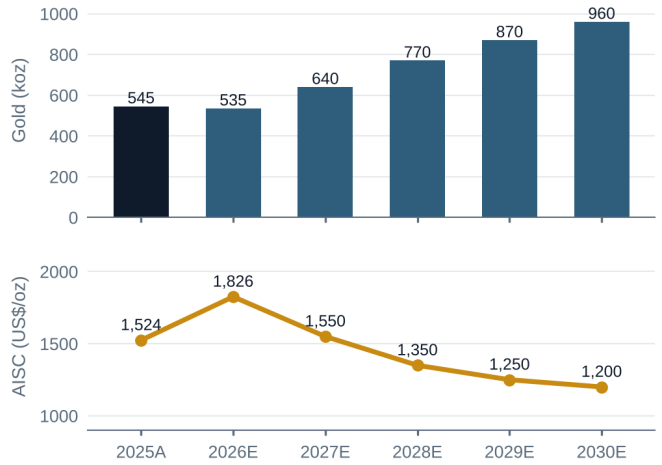
Company Snapshots

Alamos Gold (NYSE/TSX: AGI)

Buy | Target US$39.00 | Return 29.6%

Alamos is the clearest case in our coverage of growth arriving as costs fall. We model output rising from 535 koz in 2026E to 960 koz in 2030E. AISC falls from about US$1,826/oz this year to US$1,200/oz as Island Gold Phase 3+ and the Magino mill expansion arrive. Free cash flow rises from about US$364 million in 2026E to US$935 million in 2028E at our deck.

Exhibit 10: Alamos: Production Rises While AISC Falls (2025A–2030E)



Source: Company filings (2025A, H1-26A); Northwall estimates

2026 is the trough. July's guidance cut to 510–560 koz reflected a seismic event at Young-Davidson and slower recoveries at La Yaqui Grande. Q3 results arrive after the close today, with the call on October 29. We will look for (1) Young-Davidson back toward 5,000 tpd, (2) Phase 3+ shaft equipping on schedule, and (3) no further change to cost guidance.

Franco-Nevada (NYSE/TSX: FNV)

Hold | Target US$250.00 | Return 9.1%

Franco-Nevada earned a 91% adjusted EBITDA margin in H1 2026, carries no debt and has US$4.3 billion of available capital. We forecast 552k GEOs in 2026E, rising to 600k by 2030E, inside management's 555–615k outlook. Cobre Panamá stockpile processing is in our numbers; a full restart is risked at 35% and worth US$8.44 per share.

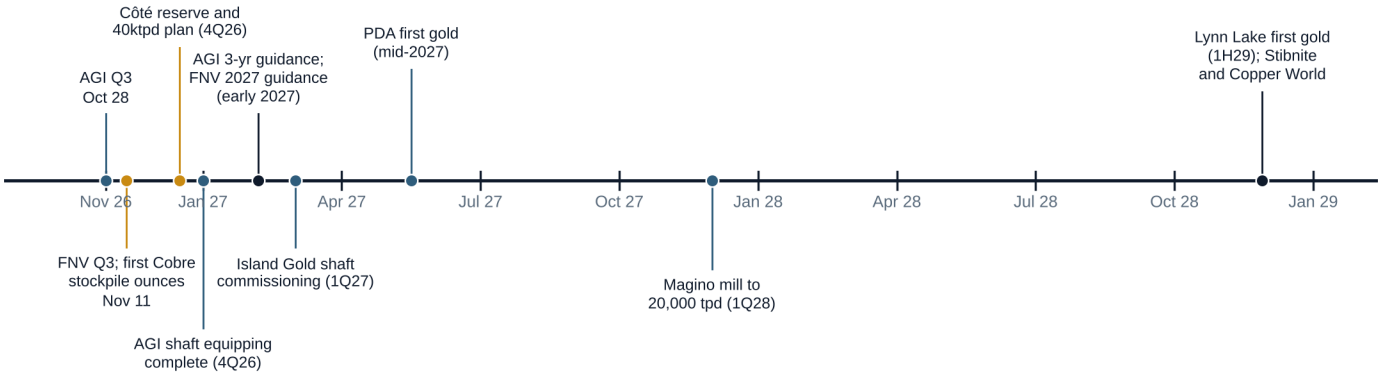
Our hesitation is price. At 1.66x NAV and 25.6x 2027E cash flow, the shares already credit the quality. A pullback below about US$215 would lift the expected return above our Buy hurdle. Q3 results on November 11 should show the first Cobre Panamá stockpile deliveries.

Risks to Our View

We highlight: (1) a deeper gold correction, if real yields keep rising as markets price more Fed hikes; (2) cost inflation in labour, energy and consumables, which could erode margins faster than we model; (3) execution at Alamos on Phase 3+, Magino and Lynn Lake, where initial capital rose to US$937 million; (4) Cobre Panamá, where closure removes US$8.44 per share from Franco-Nevada's NAV and a restart adds up to about US$24; and (5) resource nationalism, which tends to rise late in price cycles. Upside risks include (6) a faster end to the Middle East conflict, which would lower oil and yields, and (7) renewed central-bank buying at 2022–2024 levels.

Catalyst Calendar

Exhibit 11: Coverage Catalysts, November 2026 to 2029



Source: Company disclosures; Northwall Research

Date	Company	Event	What we will watch
Oct 28, 2026	AGI	Q3 2026 results (call Oct 29)	Young-Davidson tonnage; cost guidance; shaft progress
Nov 11, 2026	FNV	Q3 2026 results	First Cobre Panamá stockpile ounces; Q3 GEOs vs. our 138k estimate
4Q26	FNV	Côté Gold reserve and 40ktpd plan (IAMGOLD)	Scale of the 7.5% gross metal royalty
Early 2027	AGI, FNV	New guidance	AGI three-year outlook; FNV 2027 GEOs and a likely 20th dividend increase
1Q27	AGI	Island Gold Phase 3+ shaft commissioning	Mining rates rising to 2,400 tpd
Mid-2027	AGI	PDA first production (Mulatos District)	Lower-cost Mexican ounces
1Q28	AGI	Magino mill expansion to 20,000 tpd	The step that drives 2028E AISC to US$1,350/oz
Open	FNV	Panama ruling on Cobre Panamá	Restart worth up to ~US$24 per share unrisked

Important Disclosures

Ratings and targets. Alamos Gold Inc.: Buy, 12-month target US$39.00. Franco-Nevada Corporation: Hold, 12-month target US$250.00. Both as published October 27, 2026; this note does not change either rating or target. Buy: expected 12-month total return above 15%. Hold: 0% to 15%. Sell: below 0%. Total return includes the forward dividend.

Sources. Facts are attributed to their sources in the text. Third-party views (State Street Global Advisors, RBC Capital Markets, the World Gold Council) are cited as reported and are not Northwall estimates. Estimates, sensitivities, targets and ratings are Northwall Research's own and come from our Excel models (v2026Q2).

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